

Shortlist — Financial Model

SHORTLIST · FINANCIAL MODEL · SOURCE: BUSINESS-PLAN/FINANCIAL-MODEL.MD

Companion to BUSINESS-PLAN.md . All figures are modelled, not observed. The purpose of this document is to make every assumption explicit enough to be attacked.

1. Funnel assumptions (base case)

STAGE	RATE	SOURCE OF THE ESTIMATE
Emails sent / month at steady state	3,000	~150/day across 10 mailboxes; within Google/Microsoft ramp limits
Reply rate	4.0%	Published 2026 benchmarks are 3.1–3.7% on managed infrastructure; we model a modest premium for a bespoke, evidence-carrying email, not the 8–12% "elite" figure
Positive replies (of all replies)	25%	Conservative; most replies to any cold email are declines
Reply → real conversation	60%	
Conversation → paid Diagnostic (\$1,500)	22%	
Diagnostic → retainer, within 45 days	50%	
Direct-to-retainer closes (no diagnostic)	~1/month	Larger prospects that skip the trial step
Net new retainers / month at steady state	3.0	
Blended retainer value	\$3,200/mo	Mix weighted toward the \$2,500 tier
Monthly logo churn	5.0%	Services churn; results lag 60–90 days, so early churn is the real risk

At 3,000 emails → 120 replies → 30 positive → 18 conversations → 4 diagnostics → 2 retainer conversions + 1 direct = **3 net new retainers/month**.

2. Base case — month by month

MRR recursion: $MRR_{end} = MRR_{prev} \times 0.95 + (new\ retainers \times \$3,200)$. Retainer revenue billed is taken as the mid-month average, which approximates start dates spread through the month.

MONTH	NEW RETAINERS	ENDING MRR	ACTIVE CLIENTS	DIAGNOSTICS SOLD	RETAINER REV.	ONE-TIME REV.	TOTAL REVENUE
1	0	\$0	0	0	\$0	\$0	\$0
2	0	\$0	0	2	\$0	\$3,000	\$3,000
3	1	\$3,200	1	3	\$1,600	\$4,500	\$6,100

MONTH	NEW RETAINERS	ENDING MRR	ACTIVE CLIENTS	DIAGNOSTICS SOLD	RETAINER REV.	ONE-TIME REV.	TOTAL REVENUE
4	2	\$9,440	3	4	\$6,320	\$6,000	\$12,320
5	3	\$18,568	6	4	\$14,004	\$6,000	\$20,004
6	3	\$27,240	9	4	\$22,904	\$6,000	\$28,904
7	3	\$35,478	11	4	\$31,359	\$6,000	\$37,359
8	3	\$43,304	14	4	\$39,391	\$6,000	\$45,391
9	3	\$50,739	16	4	\$47,022	\$6,000	\$53,022
10	3	\$57,802	18	4	\$54,271	\$6,000	\$60,271
11	3	\$64,512	20	4	\$61,157	\$6,000	\$67,157
12	3	\$70,886	22	4	\$67,699	\$6,000	\$73,699
				41	\$345,727	\$61,500	\$407,227

Less a 5% allowance for refunds, prorations, and negotiated discounts:

YEAR-1 RECOGNIZED REVENUE: ~\$387,000

EXIT MRR: \$70,886 → ~\$851,000 ARR RUN-RATE

3. Base case — cost side

LINE	BASIS
Outbound infrastructure	~\$124/mo — 10 mailboxes (\$25), Smartlead (\$39), domains amortized (\$10), lead enrichment (\$50)
Prospect scanning	\$200–300/mo — ~500 qualifying scans at ~\$0.40 each
Client delivery (LLM + search APIs)	~\$120/client/mo
Client-facing dashboard subscription	\$160/mo from month 4, \$320/mo from month 8 (we buy the commodity tool rather than build it)
Accounting / admin	\$100/mo from month 6
Entity formation and registered agent	\$150, month 1

	AMOUNT
Total operating cost, year 1	~\$21,800
Stripe processing (2.9% + \$0.30)	~\$11,800

	AMOUNT
Stripe FX conversion — \$0 if settling to a US-domiciled USD account , ~\$3,900 if not	\$0
Total cost	~\$33,600
Pre-tax profit, year 1	~\$353,000
Corporate tax — Manitoba CCPC, 9% combined on active business income under \$500k	~\$31,800
After-tax profit retained in the corporation	~\$321,000

Revenue is invoiced in USD; the figures throughout this model are USD. Costs are also largely USD (APIs, sending tools, domains), so the currency exposure is limited to retained earnings. Settle Stripe into a US-domiciled USD account from the first invoice — otherwise automatic conversion takes roughly 1%, about \$3,900 a year at base case.

The business is cash-positive from month 2 and never requires capital beyond the initial \$1,000. This is the defining structural advantage: **there is no month in which growth is constrained by money**. It is constrained by delivery capacity and by close rate.

4. Scenarios

	CONSERVATIVE	BASE	AGGRESSIVE
Reply rate	3.0%	4.0%	5.0%
Net new retainers / mo (steady)	1.5	3.0	4.0
Blended retainer	\$2,800	\$3,200	\$4,500
Monthly churn	6%	5%	4%
First retainer lands	Month 4	Month 3	Month 3
Diagnostics / mo	2	4	5
Exit MRR	~\$29,000	~\$70,900	~\$115,400
Exit ARR run-rate	~\$348,000	~\$851,000	~\$1,385,000
Year-1 revenue	~\$159,000	~\$387,000	~\$698,000
Active clients at month 12	10	22	26

The aggressive case is **capacity-capped from month 10** (new adds cut from 4/mo to 2/mo). Uncapped it produces a higher number, but 30+ concurrent clients is not deliverable at the quality this business sells. Past that point the correct move is a price increase, not another logo.

5. Sensitivity — what actually moves the outcome

Year-1 revenue, varying one assumption at a time from the base case:

CHANGE	YEAR-1 REVENUE	Δ
Reply rate 4.0% → 3.0%	~\$300,000	−22%
Reply rate 4.0% → 5.0%	~\$470,000	+21%
Churn 5% → 8%/mo	~\$333,000	−14%
Churn 5% → 3%/mo	~\$425,000	+10%
Blended retainer \$3,200 → \$4,000	~\$450,000	+16%
First retainer slips month 3 → month 5	~\$310,000	−20%

Two conclusions. First, *speed to first client matters as much as conversion rate* — a two-month slip costs as much as a full point of reply rate. Front-load the pilots. Second, **price is the cheapest lever available**: raising the blended retainer 25% costs nothing, consumes no capacity, and adds more than cutting churn by 40% does. Raise prices at months 6 and 10.

6. Reinvestment policy

PERIOD	RULE
Months 1–6	100% of profit to sending capacity, then API credits. Outreach volume is the growth constraint.
Months 7–9	Cap outbound spend at ~\$600/mo. Route surplus into original research studies (inbound engine) and a refund reserve equal to one month of MRR.
Months 10–12	Hold a 3-month operating reserve. Distributions permitted above that. Consider a part-time human editor if quality metrics slip.

A note on distributions. The 9% Manitoba CCPC rate is a *deferral*, not forgiveness — personal tax applies when profits leave the company as salary or dividends. Retaining earnings inside the corporation through year 1 is therefore worth real money, and the reinvestment schedule above already does that. Salary-versus-dividend mix is an accountant question to settle before the first distribution.

7. What would falsify this model

Watch these four numbers monthly. Each has a threshold that should trigger a change in plan, not a change in effort.

METRIC	HEALTHY	TRIGGER
Reply rate	≥3%	<2% for two consecutive months → rewrite offer or change vertical

METRIC	HEALTHY	TRIGGER
Spam complaint rate	<0.10%	>0.10% → stop sending, rebuild infrastructure
Diagnostic → retainer	≥40%	<25% → the diagnostic is not proving value; rebuild the deliverable
90-day client retention	≥80%	<60% → the program does not work; fix delivery before selling more

Kill criteria: fewer than 2 paying retainers and under \$8,000 cumulative revenue at the end of month 4.
Reassess the vertical first — the machine repoints in about two weeks.